

CLSK pitch deck

PITCH — CLSK — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: No entry at \$11.52. Move to event-gated WATCH — the buy trigger is a definitive Texas lease (any tranche of the 885MW exclusivity) or the tenant being named with a credit rating, NOT the \$1.9B debt close; the ~\$8.50–9.00 price band is proposed but flagged, because a bare price trigger on a bitcoin-levered stock fires exactly when the thesis has gotten worse.

What we believe

CleanSpark is a bitcoin miner in the middle of converting itself into a data-center landlord. The conversion is real: it has signed a 20-year lease on a 175MW data center in Sandersville, Georgia with an unnamed tenant the company describes as a “high investment grade global technology company” ([lease press release](#)), and the same press release discloses that this tenant has also taken a letter of intent plus exclusivity over CleanSpark’s entire Texas portfolio — 718 acres, up to 885MW, five times the signed project.

But the mining business that funds the interim is impaired at today’s bitcoin price: revenue down 30.5% year over year, adjusted EBITDA of –\$113M, a nine-month net loss of \$996.9M, and in July the company sold 98.8% of the coins it produced (579 of 586) — it is living hand to mouth. Our central belief, which both of our internal review benches converged on: **even if the \$1.9B of project debt closes tomorrow, the fully-funded Sandersville project plus the company’s actual debt load does not justify upside from \$11.52.** At reasonable real-estate valuations, the funded 175MW project is worth roughly \$4.50–\$12.40 per share before subtracting a net-debt drag of about \$3.50 per share. The market price already assumes roughly \$1.4B of additional value for the mining/power platform. So a debt-closing headline is not a buying signal. The thing that would actually change the math is the Texas expansion converting from an option into a signed lease — that multiplies the project pipeline rather than merely funding the one already priced in.

What the market believes

The stock trades at \$11.52 (live broker print; the data pack’s \$12.09 Yahoo quote was superseded), down 49% from its 52-week high of \$23.61 but up 51% from its \$8.00 low — the low predates the Georgia lease announcement, so this is a name that has already re-rated once on the conversion story. At this price the market is: (1) giving the company credit for the funded Georgia project, (2) imputing about \$1.4B (~\$0.78M per contracted megawatt across 1.8GW under contract) to the power platform — at or slightly below what comparable miner-to-datacenter conversions have fetched, and (3) treating the \$1.8B of convertible notes as straight debt, correctly, since the conversion prices (\$24.05 on the 2030 notes) are far above the stock. The market is not paying much, if anything, for the Texas option — but it is also not pricing the mining business’s cash bleed as an existential problem.

Why we might have edge

- **The prize-table arithmetic.** Most coverage frames the question as “does the \$1.9B financing close?” Our benches showed that question doesn’t gate the upside: fully funded, the Georgia project plus net debt lands at or below today’s price at any defensible capitalization rate. Anyone buying the debt-close headline is buying an event that resolves nothing. We won’t.
- **The treasury is smaller and more tied-up than the marketing suggests.** The monthly update advertises 13,931 BTC / \$814.9M; the audited balance sheet shows 12,205 BTC / \$714.3M on the bitcoin line, and the update’s own footnote discloses that 4,070 coins — **29% of the marketed treasury** — are posted as collateral or receivables against derivative trades. The truly-current liquid cushion is \$794.7M, not the ~\$1.02B a casual read gives ([10-Q](#)).
- **A 2028 debt wall the “due 2030/2032” label hides.** Holders of the \$650M 2030 convertible notes have a one-time right to force repurchase at par in June 2028 — the same year rent from Georgia is just starting (the facility reaches service in late 2027). The debt collides with the ramp, not after it.
- **Capital allocation cuts against the story.** The company spent \$463.2M buying back 30.4M shares at an average of ~\$15.24 — now 24% underwater — during quarters of negative EBITDA, while facing a \$1.75–2.1B construction bill with no project debt closed and no at-the-market equity program in place.
- **The upside everyone leans on is partially sold away.** 350 of July’s 579 coins sold went out via exercised call options — the treasury is systematically short calls, capping the bitcoin-recovery scenario that bulls (and our own benches) treat as the main upside engine.

Why it might be priced in

Honest symmetry: the lease re-rate already happened (\$8 → \$11.52), and the mining impairment is fully telegraphed in monthly press releases, so neither is new information. The ~\$0.78M-per-contracted-megawatt the market is imputing to the platform is at or below the going rate for these conversions — the platform may be fairly priced, not overpriced, which weakens the short-leaning half of our math (and we concede no rigorous comparable-transaction pull was run; that number is plausible, not verified). The 885MW Texas exclusivity is disclosed in the same public press release we cite — the market can read it too, and if the tenant is named (behavior like taking exclusivity over an entire 718-acre portfolio looks like hyperscaler land-banking, not a weak credit), the stock may gap through our entry bands before we act.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Live price	Pack’s same-day broker gateway print; both benches’ direct broker calls were permission-denied this session	\$11.52; Yahoo \$12.09 superseded	Yes

Claim	How checked	Found	Confirmed?
Funded-project value ceiling	Second bench recomputed the first bench's valuation table cell-by-cell from the lease PR and 10-Q	Arithmetic correct (\$330M income / 7.5% cap → \$9.70/sh; net debt – \$3.50/sh). But our own red bench erred: it modeled only the signed 175MW while its own cited document disclosed the 885MW Texas exclusivity, and it valued the power platform at zero on an earnings lens the sector doesn't use. "Fatal" was downgraded to a sizing problem	Yes, with corrections
2028 put on the 2030 converts	Both benches proxy-fetched the 10-Q (the standard fetch was 403-blocked)	Put right and \$650M confirmed verbatim. Red bench erred on the conversion price: \$24.05, not \$14.80 — the correction actually strengthens the straight-debt read. Exact put date not visible in the filing text	Existence yes; date no
Treasury divergence	Cross-read July operational update vs 10-Q balance sheet	12,205 BTC/\$714.3M on the books vs 13,931/\$814.9M marketed. Red bench erred calling this concealment — the update's footnote 4 discloses the encumbrance itself. Substance is worse than red claimed: 4,070 coins (29%) encumbered, not ~1,700	Yes
Coinbase credit line	10-Q read	\$0 drawn at quarter-end (repaid from \$174.5M, 8.25% rate). Red's "\$300M undrawn capacity" could not be verified in the filing; collateral is the already-29%-encumbered bitcoin	Partially
Buybacks while unfunded	10-Q share counts	30,391,456 shares for \$463.2M cash, ~\$15.24 average — strengthened red's original ~27.5M estimate	Yes
Mining impairment	Q3 results PR + July update	Revenue –30.5%, adj. EBITDA –\$113M, July sold 579/586 produced at \$66,133; 350 via call exercise	Yes
Tenant is investment grade	Coverage gap — no tool we have resolves an unnamed data-center tenant	Unnamed in both the PR and the 10-Q; 17% yield-on-cost is unusually rich for an IG counterparty, which is exactly why the name matters	No
Pack financial data	Both benches noticed the pack's XBRL block ends in 2023	Stale; superseded by the proxy-fetched 10-Q — an error avoided, worth recording	n/a
Construction pace at Sandersville	Satellite buildout check attempted	Pre-flight failed — site not geocodable without parcel coordinates. Open	No

PROPOSED ENTRY BANDS

Both benches say no entry at \$11.52 (red: reject, 8/10 conviction; blue: watch with gates, 7/10). Per the benches' own math, these are the **reopen bands**:

- **Reopen A — event (primary):** A definitive Texas lease on **any tranche of the 885MW exclusivity**, disclosed by 8-K or press release. This is the tradeable event — it multiplies the project pipeline rather than funding the one already priced. Do not buy the headline blind: re-run the valuation table with the new megawatts and re-adjudicate inside the filing window.
- **Reopen B — event:** The Sandersville **tenant named with a public credit rating**. An A-rated hyperscaler at 17% yield-on-cost re-rates the entire table.
- **Reopen C — price, FLAGGED:** $\leq \$8.50-9.00$, where the funded-175MW valuation plus the encumbered-treasury floor roughly equals the price and the Texas option comes free. **Caution for the adjudicator:** this stock is a 1.0-beta proxy for bitcoin, so a bare price trigger fires precisely when bitcoin has fallen and the mining leg is worse — the gate self-triggers on a deteriorated thesis. Proposal: condition it (e.g., price $\leq \$9.00$ **with** bitcoin $\geq \sim \$60k$ / mining margin intact at trigger) or disarm it in favor of the event gates.
- **Explicit non-trigger:** the \$1.9B project-debt close, alone, is **not** an entry signal at any price near current levels.
- **Sizing if any gate opens:** the benches gave no number; given the unhedged bitcoin exposure and the short-call overhang on the treasury, we propose a capped starter of no more than $\sim 0.5-0.75\%$ of book at re-adjudication, not before.
- **Catalyst dates:** $\sim 2026-09-03$ August operational update (BTC sold-vs-produced is the distress tell); 2026-11-24 fiscal Q4/10-K print (date derived, unconfirmed by any company PR); 2028-06-15 \$650M convertible put (date itself unconfirmed against the indenture).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.0 (deck-provisional: funded-175MW value + encumbered-treasury floor $\sim$ = tape, TX option free — FLAGGED: bare gate self-trigg)
- filing watch: 8-K until 2027-02-11 (deck-provisional: definitive TX lease on any 885MW tranche or tenant named with a rating — the tradeable events; debt-cl)
- dated pack CLSK|2026-09-03: Read three lines and ignore the rest. (1) BTC sold divided by BTC produced - July was $579/586 = 98.8\%$, which is the tell of a miner at or be
- dated pack CLSK|2026-11-24: The 10-K is where the convertible-note put, the Coinbase facility terms, the Series A preferred from March 2026 and any ATM capacity get the
- dated pack CLSK|2028-06-15: CLSK: \$650M one-time put on 2030 convertible notes (date confirmed=False)

What remains unverified

The tenant's identity and credit rating (the single most valuable unknown). The exact date and mechanics of the 2028 convertible put. The Coinbase facility's \$300M capacity claim. The $\sim \$0.78M$ -per-megawatt comparable used to argue the platform is fairly priced (no comp pull ran — it is plausible,

not confirmed). The capitalization-rate choice, which swings the funded value ~3x across the table. The terms and expiry of the 885MW Texas exclusivity (not in the pack). Physical construction pace at Sandersville. The next earnings date. And the biggest one, which no court can resolve: bitcoin's price, which is the load-bearing variable for the mining leg, the treasury collateral, and roughly \$1.4B of what the market is paying for today.

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bare gate self-triggers on BTC drawdown, adjudicator should  
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